

# Board of Directors Package

## Pinecrest Specialty Foods — Q4 2021

Board Meeting: February 6, 2022 | Confidential — Board Use Only

| <b>Date</b>          | February 6, 2022                                                                    |
|----------------------|-------------------------------------------------------------------------------------|
| <b>Location</b>      | Atlas Crossing Partners, 2 Embarcadero Center, Suite 1800, San Francisco, CA 94111  |
| <b>Board Members</b> | M. Tang, S. Chen (Atlas Crossing); C. Nakamura (CEO); T. Reid, P. Kim (Independent) |
| <b>Management</b>    | C. Nakamura (CEO); R. Osei (CFO); A. Brennan (CMO); P. Walsh (COO)                  |
| <b>Deal Team</b>     | M. Tang (MD), D. Okafor (Principal), J. Mendez (VP), S. Liu (Associate)             |

### Agenda

1. Call to order and quorum confirmation
2. Approval of prior meeting minutes
3. Executive Summary and highlights
4. Financial performance review
5. Operational KPI update
6. Strategic initiatives status
7. Risk review
8. Next quarter outlook
9. Other business / adjourn

## Executive Summary

Pinecrest Specialty Foods delivered Q4 2021 revenue of \$83.4M and EBITDA of \$10.4M (12.5% margin), ahead of budget by 3.1%. Distribution expanded to 44,000 retail locations through the Albertsons national program signed in Q3 — the largest new account in Pinecrest's history.

## Financial Performance

| Metric          | Q4 2021 Actual | Budget  | Var. to Bud. | Prior Year Qtr | YoY |
|-----------------|----------------|---------|--------------|----------------|-----|
| Revenue         | \$83.4M        | \$80.9M | +3.1%        | —              | —   |
| Gross Profit    | \$30.6M        | —       | —            | —              | —   |
| Gross Margin %  | 36.7%          | —       | —            | —              | —   |
| EBITDA          | \$10.4M        | \$9.9M  | +5.1%        | —              | —   |
| EBITDA Margin % | 12.5%          | —       | —            | —              | —   |
| D&A             | (\$2.0M)       | —       | —            | —              | —   |
| EBIT            | \$8.4M         | —       | —            | —              | —   |
| Interest        | (\$5.0M)       | —       | —            | —              | —   |
| Net Leverage    | 6.8x           | —       | —            | Entry: 7.2x    | —   |
| LTM EBITDA      | \$36.9M        | —       | —            | Entry: \$37.7M | —   |

## Operational KPIs

| KPI                            | Current Quarter | Entry Baseline | Target       |
|--------------------------------|-----------------|----------------|--------------|
| Retail Distribution Points (K) | 43.1            | 38.0           | Target: 72.0 |
| Better-for-You % of SKUs       | 21.6            | 18.0           | Target: 42.0 |
| Manufacturing Facilities       | 4.0             | 4.0            | Target: 6.0  |
| On-Shelf Availability %        | 95.6            | 95.2           | Target: 97.8 |

## Strategic Initiatives

| Initiative                    | Status      | Detail                                                        |
|-------------------------------|-------------|---------------------------------------------------------------|
| ERP / Sage X3 rollout         | On track    | Phase 1 live in Minneapolis; plant rollouts Q1 2022           |
| BFY reformulation             | In progress | Roadmap approved; first 28 reformulated SKUs in development   |
| Retail expansion — Albertsons | Signed Q3   | National Albertsons program; 2,200 incremental stores Q4 2021 |
| Harvest Kitchen acquisition   | Advanced    | LOI signed Q4 2021; diligence underway; close target Q2 2022  |

## Key Risks & Mitigation

| Risk                     | Severity | Mitigation                                                             |
|--------------------------|----------|------------------------------------------------------------------------|
| Input cost inflation     | High     | Commodity food inputs +22% YoY; passing ~60% through pricing           |
| Retail shelf competition | Medium   | Category reset season — Pinecrest gained net 3,200 distribution points |
| BFY reformulation risk   | Low      | Consumer acceptance testing positive; reorder rates above threshold    |

## Next Quarter Outlook

Q1 Q1 2022 expected \$83.5M. Harvest Kitchen close target Q2 2022. Albertsons full rollout complete Q1 2022. BFY first SKUs launch Q2 2022.

*Confidential — prepared for the Board of Directors of Pinecrest Specialty Foods and Atlas Crossing Partners. Not for distribution.*